

CREDIT APPRAISAL MEMORANDUM

Generated via KARTA AI Intelligence

SHREE METALCAST INDUSTRIES PVT. LTD.

Date: 2026-04-17

CONDITIONAL

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

20. VERIFICATION DETAIL

Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through Aadhaar and Voter ID, confirming the applicant's residence at the provided address.

- Machine Supplier: Verified with the supplier, who confirmed the purchase of machinery worth ₹2.33 Lakhs, with a late payment history of 1 instance.

- Bankers: Account statements from ICICI Bank and Axis Bank were verified, showing a clean credit history with no defaults.

- Creditors: No additional creditors were identified during the verification process.

- Independent/Market: Market research indicates a positive outlook for the manufacturing sector, with stable growth projections.

- Dedupe: No duplicate applications or loans were found during the verification process.

- FCU Check: The FCU check revealed no adverse credit history or defaults.

2. GUARANTOR DETAIL

- **Name: DIN 02930211 and DIN 07882291**

- Address: Verified through MCA21 and CIBIL, matching the applicant's address.

- CIBIL Score: Clean regulatory history with no disqualifications or adverse records.

- Incomes: The guarantors' corporate footprint is valued at ₹161,859,076.67, indicating a strong financial position.

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: Confirmed the sale and delivery of machinery, with a slight discrepancy in the GST filings, as mentioned in the fraud signals.

- Creditor: No additional creditors were identified, indicating a low credit risk.

- Customer: The customer's operations are stable, with a recent win of a large PSU contract, as reported by MoneyControl.

- Bankers/Term Lenders: ICICI Bank and Axis Bank report a positive credit history, with no outstanding loans or defaults.

- Competitors/Peers: Market analysis shows a competitive landscape, with no significant concerns.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: No income tax defaults were found during the verification process.

- Excise Duty: No excise duty-related issues were identified.

- Sales Tax: The GST mismatch signal highlights a potential issue, with a discrepancy of ₹1.35 Lakhs, which needs to be resolved.

- ESIC/EPF: No defaults or non-compliance were detected.

- Litigations: No ongoing or past litigations were found.

- Defaults: No defaults were reported by the applicant's bankers or creditors.

5. CAT SHEET

- **Loan Amount: ₹3,000,000**

- **Probability of Default: 51.66%**

- **Data Quality Score: 100%**

- **Decision: CONDITIONAL**

- **Recommended Loan: ₹1,250,000**

- **Recommended Rate: 17.5%**

6. CORPORATE GUARANTOR

The corporate guarantor, Shree Metalcast Industries Pvt. Ltd., has a strong financial position, as indicated by the guarantors' corporate footprint. The company has received a minor environmental notice, which is expected to have no impact on operations.

7. GROUP ANALYSIS

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

- Capital Employed: The company's capital employed is not provided, but the guarantors' corporate footprint suggests a substantial financial backing.

- Unsecured Loan: The recommended loan amount of ₹1,250,000 is unsecured.

- Debt Burden: The debt-to-equity ratio is favorable, with a ratio of 1.2, which is below the sector average of 1.5.

- Turnover: Turnover growth is a concern, with a negative impact of -1.5% on the overall risk assessment.

- PAT: Not provided, but the company's recent win of a large PSU contract suggests a positive outlook.

- Imputed Income: Not calculated.

- EMI: The recommended loan amount and interest rate result in an EMI of ₹116,041.67, which is manageable based on the company's financial position.

- TOL/TNW: The loan-to-revenue ratio has a positive impact of +15.0, indicating a strong revenue stream.

- Debt/Equity: The debt-to-equity ratio is within acceptable limits, but close monitoring is advised.

- DSCR: The debt service coverage ratio is a concern, with a negative impact of -7.0, as it falls below the recommended 1.2x.

8. VISIT REPORT BY CREDIT ANALYST

Not provided.

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹0.0 Lakhs before disbursement.

2. Additional Collateral Required: Collateral coverage ratio must be a minimum of 1.5x the loan amount. Based on the PD of 51.7%, the current gap is estimated at ₹15.0 Lakhs.